

(\$25.50), he'd have to buy at the exact bottom and not wait for price to climb back to the breakout.

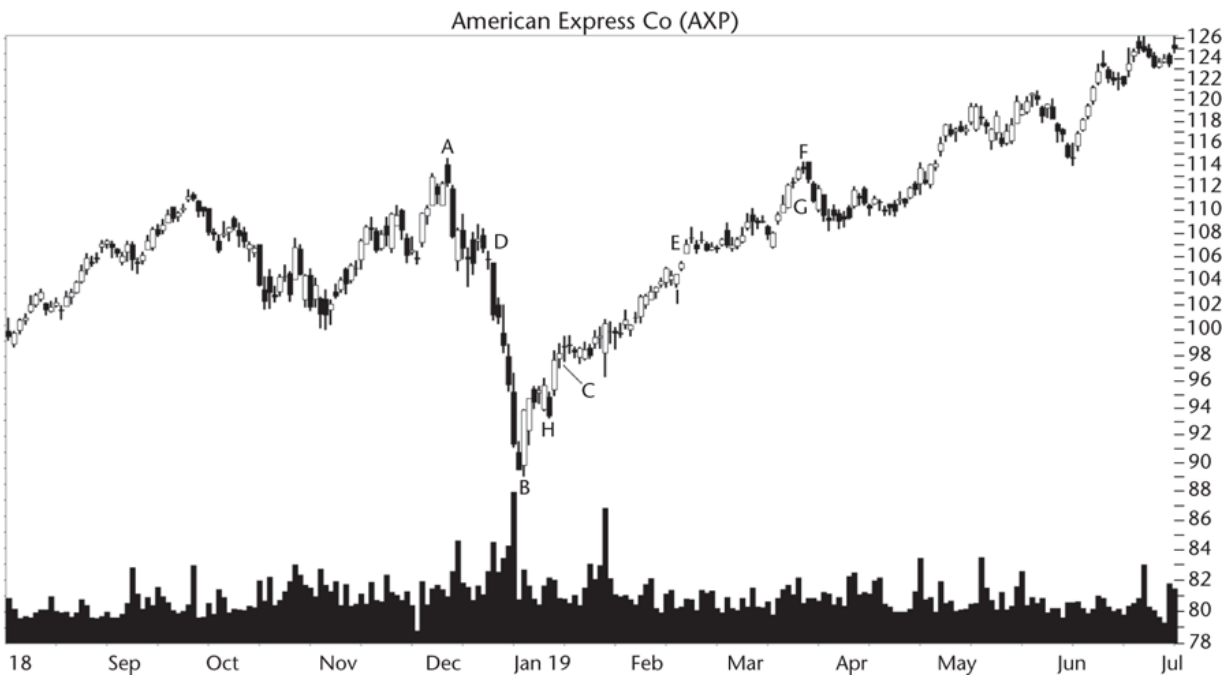


Figure 69.5 Dave bought this stock at the breakout and rode price higher.

The calculated breakout price would be 38.2% of 25.50 added to the low at 89.05 for a price of 98.79. Price crossed that threshold at C.

“I’m a swing trader willing to take a risk, so that’s where I put my buy stop. I bought at 98.79. What was my target? The top of the pattern at 114.55. For a stop, I placed it at 93.13 [below H], about a dime below the minor low.”

Price moved sideways for a week, which worried him. If the pattern behaved like it should, the vertical move would continue. Instead it took a week for the bulls to regroup and overpower the selling pressure of the bears to force price higher.

“When the stock climbed to E, I expected the stock to pause there.” Why?

“Because of resistance already shown at that price by the sideways move [at D].” He took that opportunity to raise his stop to I, to 103.33, or 10 cents below the minor low there.

Price moved sideways for about 2 weeks before making a dash up to F. Here’s where it gets tricky. The stock took longer than he hoped, or